

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester IV Examination, 2022-23

Paper: BCH-225: Public Finance

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

Define Public Finance. How does it relate to other sciences? Discuss. [14]

OR

What are the similarities and dis-similarities between public finance and private finance? Explain. [14]

Question 2.

What is public expenditure? Examine the effects of public expenditure on production and distribution. [14]

OR

How does public expenditure differ from private expenditure? Discuss. [14]

Question 3.

Discuss the subjective and objective approaches to “Ability to Pay Tax Principle” and show how these are applicable in practice. [14]

OR

Discuss Adam Smith’s canons of taxation. What additions have been made to them by later economists? [14]

Question 4.

What is incidence of Tax? Discuss the shifting of incidence of a tax under monopoly market conditions. [14]

OR

What is relative taxable capacity? Discuss the factors affecting the taxable capacity of a country. [14]

Question 5.

What do you mean by Public Debt? For what purposes can Public Debt be taken? Distinguish between private debt and public debt. [14]

OR

Write short notes on any two of the following: [7+7]

(a) Methods of Deficit Financing

- (b) Tax Capitalization
- (c) Sources of Public Debts
- (d) Progressive Tax System

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